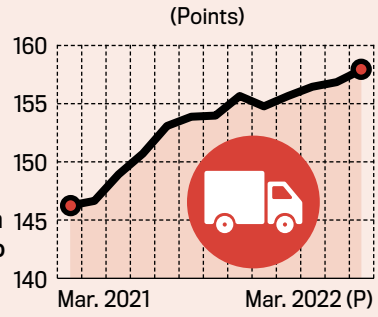
TRANSPORTATION INFLATION

TRICKY ROAD

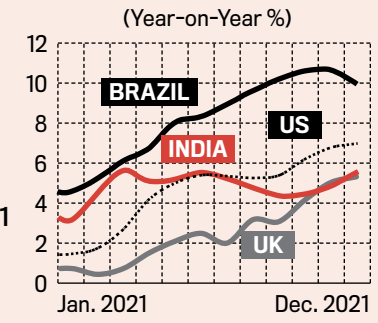
With fuel prices going up, transportation charges had to follow suit



CONSUMER PRICE INFLATION IN SELECT COUNTRIES

A GLOBAL TREND

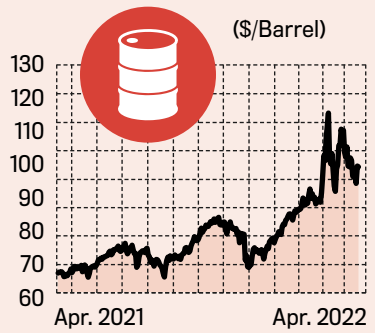
Inflation in India was range-bound up to Dec. 2021 compared to other countries



BRENT CRUDE PRICE

CRUDE ASSAULT

The Russian invasion of Ukraine has sent crude prices into a tizzy



Graphics by **TANMOY CHAKRABORTY**

landed a motorcycle and an LPG cylinder at Vijay Chowk in Delhi to protest the fuel price hike. Double-digit inflation is roiling the neighbourhood as well, contributing to political crises in Pakistan and Sri Lanka. "Inflation is a source of significant worry," says D.K. Srivastava, chief policy advisor at EY India. "It is more a supply side or cost-push pressure (inflation on account of increased cost of wages and raw material), which has external roots. It is, therefore, not under the control of domestic policy instruments. Even when we try to raise interest rates, the economy won't respond so quickly. Policymakers need to go on active alert." If allowed to continue, he warns, the inflationary trend may become persistent and even gain momentum.

MUMBAI

SANDEEP PARIKH, 61 | Businessman

Feeling the Heat



MILIND SHELTE

In the 35 years that he has been in business, Parikh, owner of Esjay Industries, a steel fabrication firm in Thane's Wagle Industrial Estate which supplies to firms such as Larsen & Toubro for the defence segment, has never faced such a situation. The prices of basic raw materials—mild and stainless steel—have doubled in just two years. Mild steel, which cost Rs 40,000 a tonne two years ago, costs Rs 80,000 now. Prices of other consumables such as welding rods and industrial oxygen have gone up between 40 and 75 per cent. Parikh is in a fix because he cannot pass on the hikes to his customers. "Our customers take time to absorb the increase in our selling price. Even if we raise prices, it is marginal and not pro-rata, which means we lose money," says Parikh, who is also president of the Chamber of Small Industry Associations (COSIA), an apex body of MSME organisations. Firms such as his then have to trim margins, or simply give up the business, which spoils relations with the client. He wants the government to reduce GST and provide tax sops to MSMEs.

–M.G. Arun